

# The Saty Phase Oscillator Opening-Window Strategy: Original, Replication and Improvements

An X quote-chain between The Milk Man (@MrMilkTrading) and the Dutch Warren (@etbent1), 26–27 August 2026

## 1. The original strategy — @MrMilkTrading, 26 Aug 2026

<https://x.com/MrMilkTrading/status/2092599219521507760>

Ok let's talk about this strategy. The rules:

Saty Phase Oscillator, NQ 10m chart (ETH)

1. PO closes above +100 --> long. Closes below -100 --> short
2. Entries 9:30-11:00 ET only
3. Exit on the opposite cross, or flat at the close
4. No stop, no target

Since 2019, 1 NQ contract, friction included:

392 trades

59% win rate

1.86 profit factor

+\$259,883

Max drawdown -\$29,707

Its own quoted teaser post:

One of the best backtests I have found this year

The indicator is free, and half of you already have it on your chart

It just printed a short on NQ tonight btw (outside my trading window, but go look)

Any guesses?

## 2. The independent replication — @etbent1, 26 Aug 2026

<https://x.com/etbent1/status/2092707152251191659>

Took you up on the "test it yourself."

Rebuilt it from the Pine source — an MQL5 EA and a Python twin, neither tuned toward your numbers. Ran it on USTEC instead of NQ.

You: 12,994 pts (2019–26)

Me: 13,038 pts (2020–26, where my data starts)

Different index, different window, ~2% apart. It replicates.

First thing I checked was whether it's just beta, since the index rose the whole time. Buying every open in the same 9:30–11:00 window gives +6.5 pts/trade over 1,716 trades. Your signal: +35.0 over 373. It also beats 1000 out of 1000 random-entry variants. The edge is real.

Two changes improved it, and both held on train (2020–23) and test (2024–26):

1. End the window at 10:00 instead of 11:00. Profit factor 1.97 → 2.34, and return/drawdown roughly doubles. It's monotone — every widening of the window makes it worse. That fits the construction: ATR(14) on a 10m chart is 140 minutes, so at 9:30 the normalizer is all premarket, and by 11:00 it's full of RTH bars. The 3-ATR threshold isn't measuring the same thing anymore.

2. Exit at 61.8 rather than the full traverse to –100. Profit factor 1.97 → 2.16. Saty already plots that level.

Your threshold is right where it should be, though — I swept 80 through 120 and 100 is a clean peak on both halves, not a fitted edge.

On the missing stop, I measured instead of guessing. Winners' MAE: median 35 pts, p95 137. Losers: median 117. Any stop tighter than 150 costs real money — at 60 pts you give up 53% of total profit, at 100 pts 21%. At 200 pts it costs 1%. So there's room for a catastrophe stop, but not for a working one.

One caveat worth flagging: US500 gives the same answer, but only in the back half. Its 2020–23 profit factor is 1.14 against USTEC's 1.60.

### 3. The author's response — @MrMilkTrading, 26 Aug 2026

<https://x.com/MrMilkTrading/status/2092710877845655590>

Love it when people feed my stuff to Claude and it not only replicates, but generates new ideas

Kind of like outsourcing my token usage

Thank you @etbent1

### 4. The VWAP-distance filter — @etbent1, 27 Aug 2026

<https://x.com/etbent1/status/2092860879712801203>

One filter — skip entries sitting more than 2.5 ATR from session VWAP — ends in the same place on 258 trades instead of 373, with equity drawdown of 759 points instead of 1,797.

### 5. The filter confirmed on NQ — @MrMilkTrading, 28 Aug 2026

<https://x.com/MrMilkTrading/status/2093162557536141453>

@etbent1 nailed it.

Added his VWAP filter to the NQ Phase Oscillator setup: skip the entry if price is more than 2.5 ATR from VWAP.

Same total money, lower drawdown. The trades it cut were basically coin flips.

Re-deploying this in NinjaTrader -- thanks amigo

his hint:

Attached chart — "PO Phase Oscillator on NQ, 10-min -- now with a VWAP filter / +100/-100 cross, 9:30-10:00 ET, exit at opposite 61.8 -- skip if price is > 2.5 ATR from VWAP". Before → after the VWAP filter:

| Metric        | Before   | After    |
|---------------|----------|----------|
| Profit factor | 2.73     | 3.07     |
| Max drawdown  | -\$14.0K | -\$10.4K |
| Return / DD   | 16.1x    | 21.8x    |
| t-stat        | 4.93     | 5.18     |

|              |          |          |
|--------------|----------|----------|
| Win rate     | 64.3%    | 65.9%    |
| Trades / yr  | 26       | 24       |
| Total (1 NQ) | +\$227K  | +\$227K  |
| 2026 YTD     | +\$53.6K | +\$55.1K |

Reply to @MarginCall4 asking "Low drawdown levered tech beta. How large of a sample size?":

182 trades since 2019, about 24 a year.

Not really beta though -- shorts actually made more than longs (\$140k vs \$87k on 1 contract).

Per trade it also beats buying every open by ~5x, and it beat 1000 out of 1000 random entry variants in the same window.

## 6. Extending the sample to 2000 — Despres Cedric (@semoi69), 28 Aug 2026

<https://x.com/semoi69/status/2093098767272620059>

thanks for the strat rules.

Here what I get with a "more realistic" position sizing (1% of capital = 0.4% of price movement):

see the 2000-2026 graph

Same perf/DD 2019->2025. But less perf since 2025..

Even with this sizing, must be ok to be flat for 5+years & stick to the strat

Attached chart 1 — same signals, two sizings, 2019–2026 ("Équité cumulée (USD) — même signaux, deux dimensionnements"):

|                  | 1 contrat fixe        | 1 %/0.4 % (notionnel 2.5x le capital) |
|------------------|-----------------------|---------------------------------------|
| trades           | 388                   | 388                                   |
| taux de réussite | 59.3 %                | 59.3 %                                |
| profit factor    | 1.85                  | 1.71                                  |
| P&L net          | +229 320 USD          | +175 051 USD                          |
| CAGR             | +18.0 %               | +15.1 %                               |
| max drawdown     | -30 989 USD (-24.0 %) | -32 147 USD (-22.5 %)                 |
| Sharpe           | 1.38                  | 1.21                                  |
| Calmar           | 0.75                  | 0.67                                  |
| levier moyen     | 3.1 ×                 | 2.5 ×                                 |

Attached chart 2 — the same two curves run back to 2000, with the pre-2019 region shaded and annotated "zone grisée = les 19 années que la stratégie publiée n'a jamais vues" (the 19 years the published strategy never saw). The fixed-contract curve sits near zero for the whole 2000–2018 span and only rises after 2019; the percentage-sized curve rises into a 2008–2009 peak, then runs sideways-to-underwater through roughly 2016 — mostly between –5% and –25% off its prior peak on the "Drawdown (% , relatif au pic d'équité)" panel — before climbing again into 2019 and beyond.